On October 31, the UN was again able to broker another ceasefire agreement that temporarily brought fighting to an end. That pause lasted only until November 9 when the IDF launched Operation Shmone, another assault on the few remaining Egyptian positions in the Negev. Tegart Fort in the village of Iraq Suwaydan was attacked first, and after an IDF assault that included bombings by B-17 Flying Fortress planes, both the fort and the village were taken.

Between December 5 and 7, Operation Assaf saw another assault by the IDF on Egyptian forces in the Negev. This led to the Egyptians being driven further back and most of the western Negev coming under the control of the IDF. While this was happening, the UN suggested the creation of a Conciliation Commission to try to end the war. This proposal was ignored by both Israel and its Arab opponents.

On December 22, the IDF launched its largest operation yet, Operation Horev, an attempt to finally drive all Egyptian forces out of the Negev. IDF forces advanced across the border into Egyptian territory in the Sinai Peninsula, intending to encircle all Egyptian forces in the Negev. However, this action brought Israel to the brink of conflict with Britain. The Suez Canal lay within Egyptian territory in the Sinai, and the British became extremely concerned that the war might interrupt shipping through the canal, a vital supply route for the British Empire. In response, the Royal Air Force (RAF) began sending aircraft from Egyptian air bases to monitor the situation on the ground.

Already in November, an RAF photo-reconnaissance De Havilland Mosquito was attacked and shot down by an Israeli fighter over Galilee, killing its pilot and navigator. Then, on January 7, four RAF Spitfires were shot down by a combination of ground fire and attacks by Israeli aircraft over the Sinai. Another RAF fighter bomber, searching for the fallen Spitfires, was itself also shot down. The RAF now ordered its aircraft to attack Israeli fighters over Egyptian or Jordanian territory on sight, leave was canceled for all British forces in the Middle East, and British citizens were advised to leave Israel. For a short time, it looked as though Britain might possibly join the war against Israel, but in early January, IDF forces were withdrawn from the Sinai, and tensions with Britain were reduced.